



“In the two-wheeler category, we saw a number of start-ups... crop up in the EV space... We were very agile in connecting with these start-ups and creating tyres as per their requirements”

ARNAB BANERJEE
MD AND CEO, CEAT

Indian manufacturers. The global tyre market is dominated by China, which makes up around 50 per cent of the sector. India's tyre business has been resilient and is expected to grow by 7-9 per cent between 2020 and 2024 and overtake the US to become the third-largest market. This could be thanks to countries' search for alternatives to China.

But even as foreign roads beckon, CEAT is bracing for competition from local rivals—like MRF and TVS Tyres—to intensify. According to financial services firm Prabhudas Lilladher, competitive intensity is increasing, but the company has successfully retained its pole position in the two-wheeler segment. “Raw material cost is expected to increase, but it would mitigate the impact through product mix and pricing action in non-truck portfolio if needed. Though the demand environment has been stable, CEAT's focus on the export market should help volumes and margins,” Himanshu Singh, Research Analyst at Prabhudas Lilladher, says.

Banerjee is more than aware of these challenges. “Competing is all about continuity, candour, and self criticism. I'm not interested in knowing what I'm doing right, but where I can improve... if there is anything others are doing better, I am open to adopting practices that can prove to be more effective” he says.

BOLD MOVE

Though it has so much on its plate, the company is still on the lookout for ways to be at the cutting edge of technology. CEAT's acquisition of online tyre retail platform Tyresnmore is an example of this desire. Goenka says this gives CEAT access to immense data and helps reinforce its identity as a consumer-facing brand. “The platform is under no pressure to sell tyres just from CEAT. It helps us understand what's working in the market and why our customers are switching.”

Tyresnmore reported revenue of ₹14.25 crore, a growth of 40 per cent over the previous year's revenue of ₹10.21 crore, and a net loss of ₹6.56 crore in FY23. For Banerjee, it works as an in-house VC set-up. “Customers today want choice and Tyresnmore provides them the freedom to choose from a range of brands. We're one of the vendors on the platform, we have no targets to sell CEAT; it's a pure-play consumer start-up.”

Banerjee says all of the firm's recent bets are underpinned by one aim: consolidating CEAT's leadership position. “Our speed and mastery of technology will give us a lead of a couple of years, which we will sustain continuously, thus giving us a dynamic advantage,” he says.

CEAT continues to be on a roll. **BT**

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